

Globalisation and the Indian Economy (Set B) — MCQ Worksheet

Social Science — Economics • Chapter 4 • 25 Questions, 1 mark each — Total: 25 marks

Instructions: Choose the correct option (A / B / C / D) for each question. Each question carries 1 mark. There is no negative marking. Suggested time: 30 minutes.

Q1. Globalisation is the process of:

- (A) Increasing integration of countries through trade, investment, technology and people movement
- (B) Closing borders
- (C) Banning trade
- (D) World government

Q2. MNCs (Multinational Corporations) are companies that:

- (A) Produce goods/services in more than one country
- (B) Are charity organisations
- (C) Are government banks
- (D) Are religious bodies

Q3. FDI stands for:

- (A) Foreign Direct Investment
- (B) Free Daily Income
- (C) Fixed Domestic Inflow
- (D) Foreign Defence Industry

Q4. India started New Economic Policy (LPG) in:

- (A) 1991
- (B) 1985
- (C) 1969
- (D) 2001

Q5. LPG reforms 1991 stand for:

- (A) Liberalisation, Privatisation, Globalisation
- (B) Liquefied Petroleum Gas
- (C) Local Product Group
- (D) Less Poverty Goal

Q6. Liberalisation in 1991 mainly:

- (A) Removed many trade barriers and licensing requirements
- (B) Increased restrictions
- (C) Banned trade
- (D) Increased subsidies only

Q7. Tax on imports is called:

- (A) Tariff
- (B) Quota
- (C) Subsidy
- (D) Discount

Q8. Restrictions on quantity of imports are:

- (A) Quotas
- (B) Tariffs
- (C) Subsidies
- (D) Reserves

Q9. Tariffs and quotas are types of:

- (A) Trade barriers
- (B) Tax rebates
- (C) Subsidies
- (D) Price tags

Q10. WTO stands for:

- (A) World Trade Organisation
- (B) World Treaty Office
- (C) Western Trade Office
- (D) World Tariff Org

Q11. WTO was established in:

- (A) 1995
- (B) 1947
- (C) 1985
- (D) 2005

Q12. WTO's predecessor was:

- (A) GATT (General Agreement on Tariffs and Trade)
- (B) IMF
- (C) UN
- (D) NATO

Q13. Benefits of globalisation in India include:

- (A) More consumer choice, better quality at competitive prices, more foreign investment
- (B) More poverty automatically
- (C) No effect at all
- (D) All negative

Q14. Problems associated with globalisation:

(A) Pressure on small producers, job insecurity, inequality

(C) Free welfare

(B) More equal income always

(D) No problems

Q15. Cargill Foods (an MNC) acquired which Indian company?

(A) Parakh Foods

(C) Amul

(B) Britannia

(D) Tata Steel

Q16. Outsourcing means:

(A) Getting jobs/processes done from outside the company, often abroad to low-wage countries

(C) Foreign currency exchange

(B) Closing factories

(D) Investing in foreign banks

Q17. Bengaluru became famous as a hub of:

(A) IT outsourcing and BPO services

(C) Coffee export

(B) Steel

(D) Agriculture

Q18. How do MNCs spread production globally?

(A) Setting up plants, buying local companies, joint ventures, outsourcing

(C) By avoiding profits

(B) By banning trade

(D) By single country only

Q19. Globalisation has been facilitated by progress in:

(A) Telecommunications, IT, faster and cheaper transport

(C) Soil conservation

(B) Population growth only

(D) Plant breeding

Q20. 'Fair globalisation' aims at:

(A) Distributing benefits more equitably; protecting workers and small producers

(C) Closing economy

(B) Banning MNCs

(D) Foreign control

Q21. Special Economic Zones (SEZs) provide:

(A) Tax holidays, infrastructure to attract investment in India

(C) Restrictions only

(B) High taxes

(D) Defence purposes only

Q22. Indian software industry has benefited from globalisation because:

(A) English-speaking, skilled workforce competitive globally; outsourcing demand

(C) Government banned IT

(B) No demand abroad

(D) Restricted by laws

Q23. Globalisation often poses the biggest threat to:

(A) Small producers and workers in unorganised sector

(C) Banks

(B) Multinationals

(D) Foreign banks

Q24. Indian companies that have gone global include:

(A) Tata, Infosys, Wipro, Mahindra and others

(C) No company

(B) Only small shops

(D) Only foreign companies

Q25. Why does globalisation result in mixed outcomes for India?

(A) It benefits some sectors and workers (IT, MNCs employees) but threatens others (small producers, agriculture)

(C) Only negative effects

(B) Only positive effects

(D) No effect at all